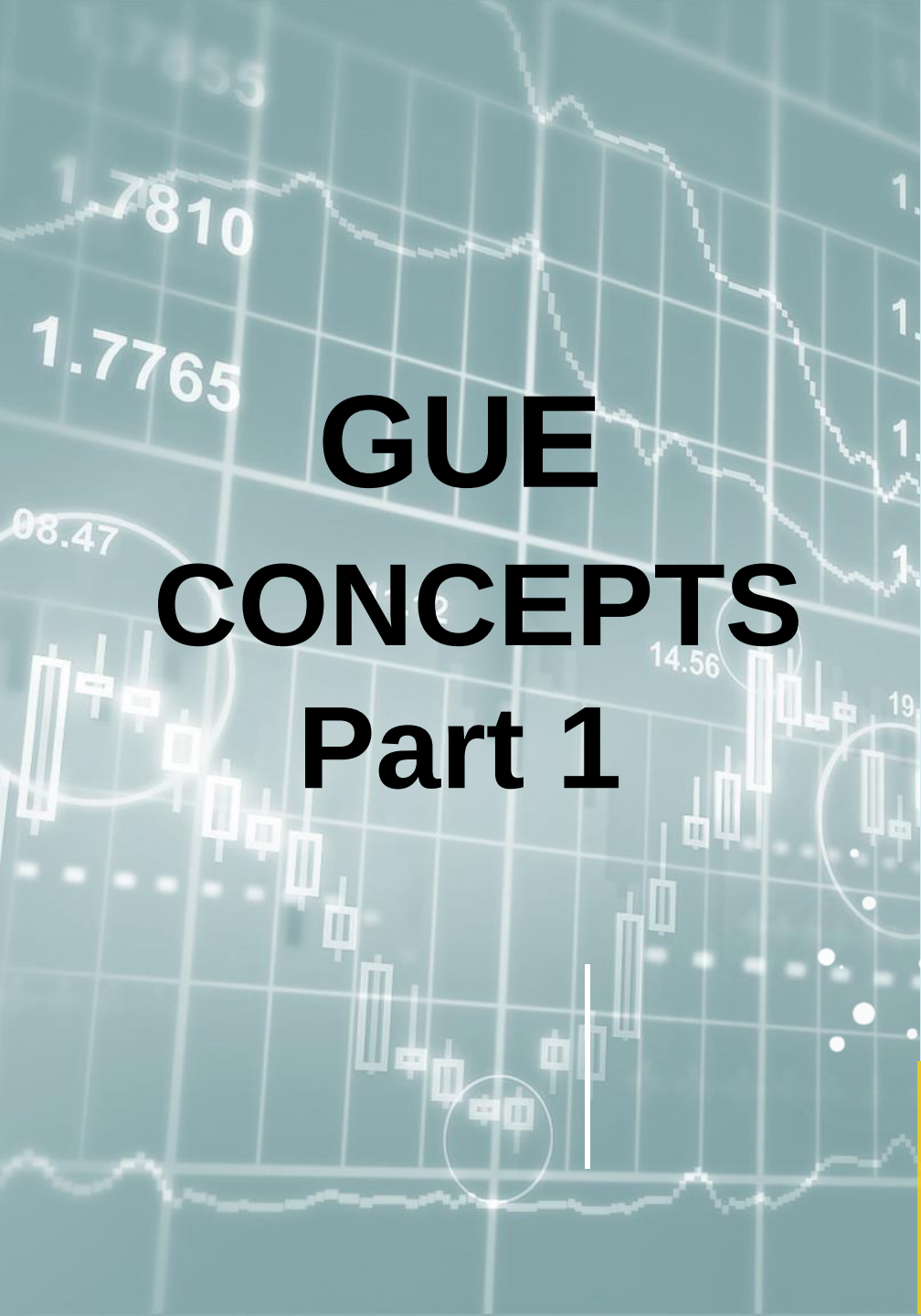


The background of the left half of the image features a complex financial chart. It includes a line graph at the top with data points labeled 1.7855, 1.7810, and 1.7765. Below this is a candlestick chart with several bars, some of which are circled. A vertical line is also present in the lower part of the candlestick chart. The overall color scheme is teal and blue.

# GUE CONCEPTS Part 1



**BECOME A PRO**  
MONEY WILL FLOW

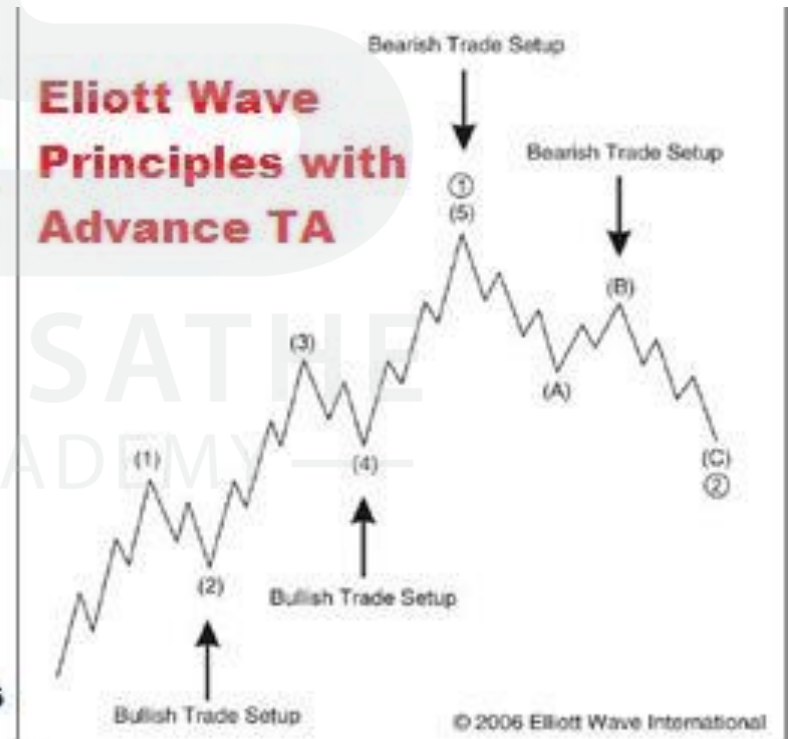
**FOCUS =  
SUCCESS!**

# GUE : Get the Ultimate Edge

Workshop on Advance Technical Analysis  
using Elliot Wave Principle



**Get the ULTIMATE EDGE over Others**





TM

PLAY THE GAME AS  
SUCCESSFUL PLAYER DOES

AVADHUT SATHE  
—TRADING ACADEMY—

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# Common Problems of Traders

- I made perfect entry but couldn't capitalise on the rally... Stock fell back to my entry point?
- Technical Charts are telling me to buy, but I am concerned. What if it's nearing the end of the run?!
- I like to be a contrarian i.e. do opposite to what the herd is doing, however it doesn't work ALL the time?
- The trade is in my favor but when do I exit? How do I find target?
- Market is correcting, is this the end of correction? Should I enter or wait further?
- How could I make successful trades consistently???!!!

Answer lies in: Elliot Wave Principles & Guidelines coupled with Technical Analysis & Discipline to follow High Probability Setups!!!

# The Wave Principle

- Mankind progress (popularly measured by stock market valuation) is not a straight line, random or cyclical.
- Growth and thereby social systems are moving in a pattern consisting of 5 waves up and 3 waves down.
- This pattern reflects the alternation of growth and non- growth or decline. It also reflects the sentiment of masses.

## Why Use Wave Principle?

- Predict Market Direction
- Identify Turning Points
- Provide Guidance for Entering and Exiting Positions (Trading or Investment positions)

**The key is to keep it simple and use it for high probability setups only!!!**

# Wave Principle – the Basis

## ➤ Financial Markets Characteristics

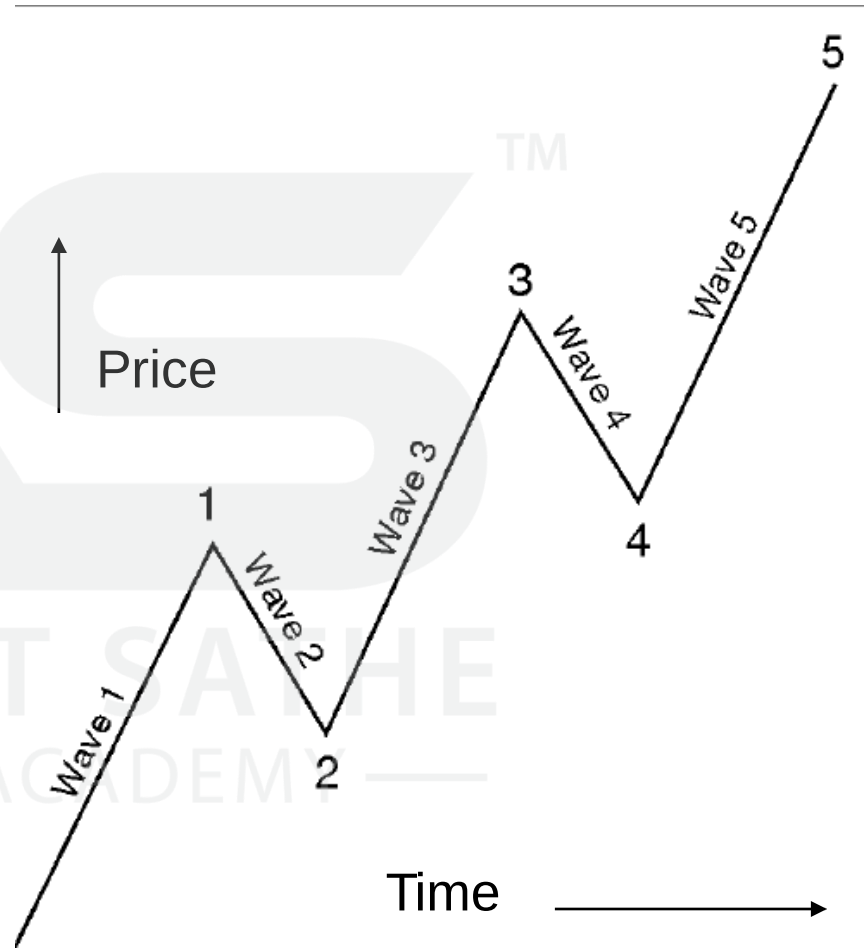
- Decisions are
  - ✓ Emotional / Unconscious
  - ✓ Subjective
  - ✓ Impulsive
  - ✓ Based on Ignorance & conditions of Uncertainty
- Herding : following actions of others
- Values cannot revert to any equilibrium

## ➤ Ralph Nelson Elliot's Wave Principle

- Financial Markets are Patterned.
- Crowd behavior moves up and down in recognizable patterns called Waves.
- These structures link together to form larger versions of same patterns and in turn become the building blocks for patterns of next larger size and so on.

# The Basic Pattern

- 5 Waves Advance.
- Price Plotted Against the Time.
- Time could be a day, week, year or minute.
- Pattern is similar on any Timeframe.



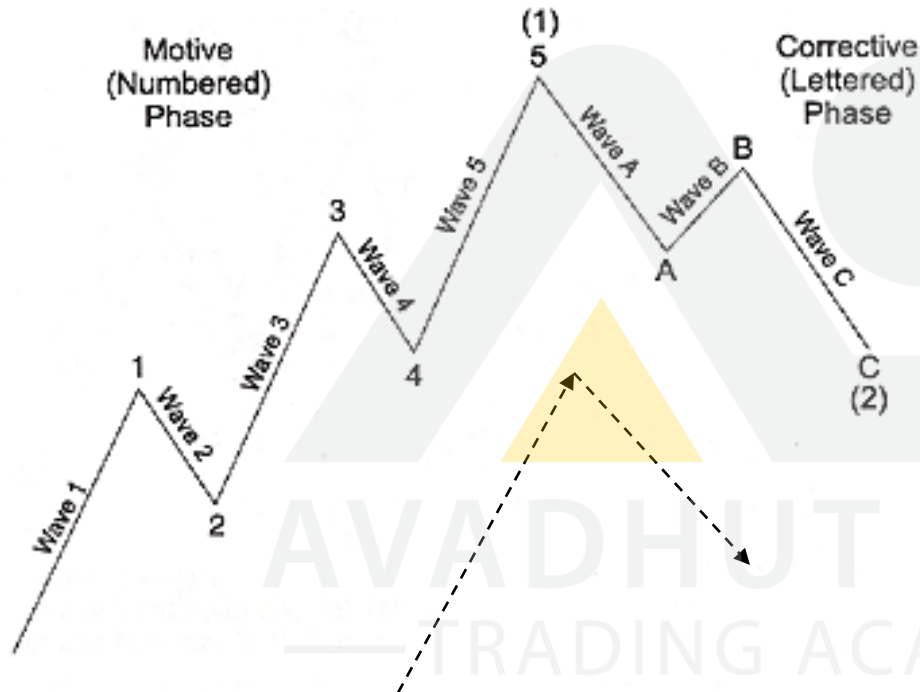


# WAVE PRINCIPLES:

- Wave 2 never retraces 100% of wave 1.
- Wave 4 never enters the price territory of Wave 1 and.....
- Wave 3 can never be the shortest in comparison with impulsive Wave 1 and Wave 5.

# Motive & Corrective Phase

Chapter 1: The Broad Concept



## ➤ Actionary waves

- Wave 1, 3 and 5
- moving in the direction of main trend of 1 larger degree

## ➤ Corrective waves

- Waves 2 & 4
- Interrupting the main trend of 1 larger degree

- Each of these waves further sub-divide into other waves

# Example: Motive Wave (1-2-3-4-5)



# Example: Corrective Wave (A-B-C)



# Example: Motive and Corrective Wave combined



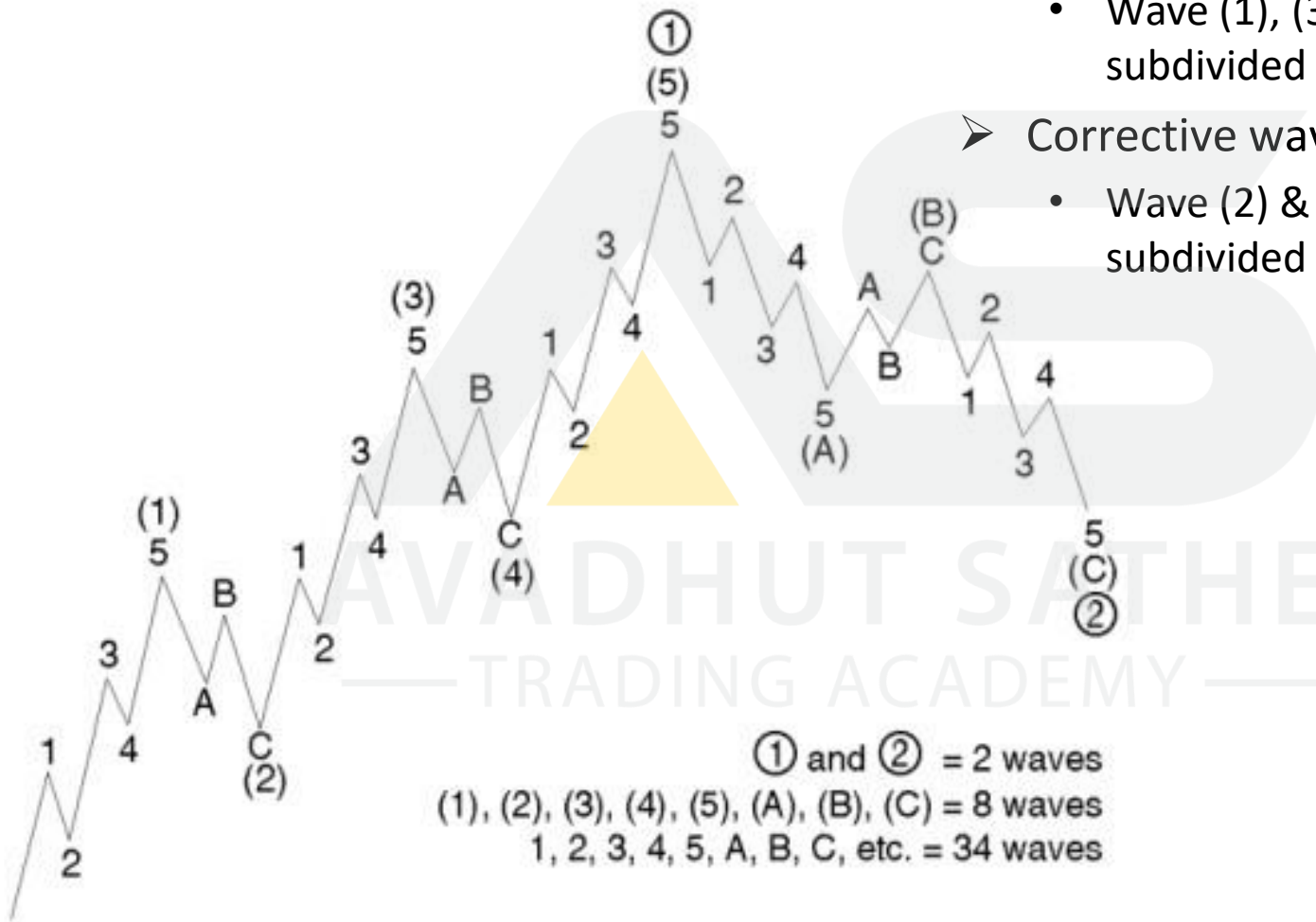
# Further Sub-division

## ➤ Actionary waves

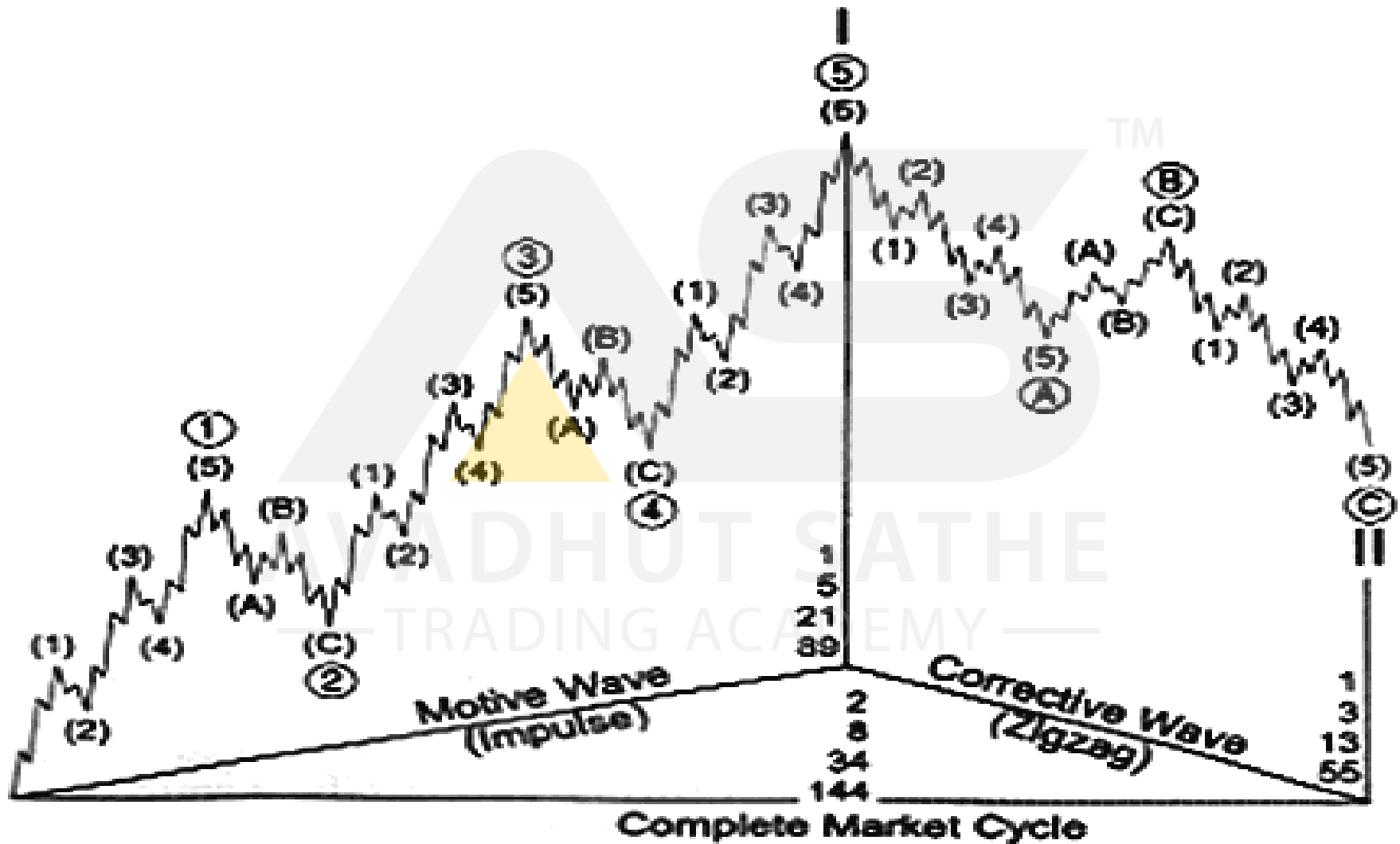
- Wave (1), (3) & (5) are further subdivided into 1-2-3-4-5

## ➤ Corrective waves

- Wave (2) & (4) are further subdivided into waves A-B-C



# Complete Market Cycle with Subdivisions



# Wave Degrees

Monthly

Weekly

Daily

| Wave Degree        | 5's With the Trend |      |       |      |     | 3's Against the Trend |     |     |
|--------------------|--------------------|------|-------|------|-----|-----------------------|-----|-----|
| 1 Supermillennium  | ①                  | ②    | ③     | ④    | ⑤   | Ⓐ                     | Ⓑ   | Ⓒ   |
| 2 Millennium       | (1)                | (2)  | (3)   | (4)  | (5) | (A)                   | (B) | (C) |
| 3 Submillennium    | 1                  | 2    | 3     | 4    | 5   | A                     | B   | C   |
| 4 Grand Supercycle | Ⅰ                  | Ⅱ    | Ⅲ     | Ⅳ    | Ⅴ   | ⓐ                     | ⓑ   | ⓒ   |
| 5 Supercycle       | (I)                | (II) | (III) | (IV) | (V) | (a)                   | (b) | (c) |
| 6 Cycle            | I                  | II   | III   | IV   | V   | a                     | b   | c   |
| 7 Primary          | ①                  | ②    | ③     | ④    | ⑤   | Ⓐ                     | Ⓑ   | Ⓒ   |
| 8 Intermediate     | (1)                | (2)  | (3)   | (4)  | (5) | (A)                   | (B) | (C) |
| 9 Minor            | 1                  | 2    | 3     | 4    | 5   | A                     | B   | C   |
| 10 Minute          | ①                  | ②    | ③     | ④    | ⑤   | Ⓐ                     | Ⓑ   | Ⓒ   |
| 11 Minuette        | (i)                | (ii) | (iii) | (iv) | (v) | (a)                   | (b) | (c) |
| 12 Subminuette     | i                  | ii   | iii   | iv   | v   | a                     | b   | c   |
| 13 Micro           | ①                  | ②    | ③     | ④    | ⑤   | Ⓐ                     | Ⓑ   | Ⓒ   |
| 14 Submicro        | (1)                | (2)  | (3)   | (4)  | (5) | (A)                   | (B) | (C) |
| 15 Miniscule       | 1                  | 2    | 3     | 4    | 5   | A                     | B   | C   |

Chart References



# Robust Fractal

- Any structure similar in different Timeframes (Degrees) but not exact.
- All have 5 waves up, 3 waves down.
- Check Nifty Charts on different timeframes viz. Daily, Weekly, Intra-day.

# Motive Phase – Key characteristics

- They are 5 wave structures (1-2-3-4-5)
- They are in the direction of main trend of one larger degree (time frame)
- Wave 2 cannot retrace more than 100% of wave 1
- Wave 3 can never be the shortest and is often the longest

## Motive Waves

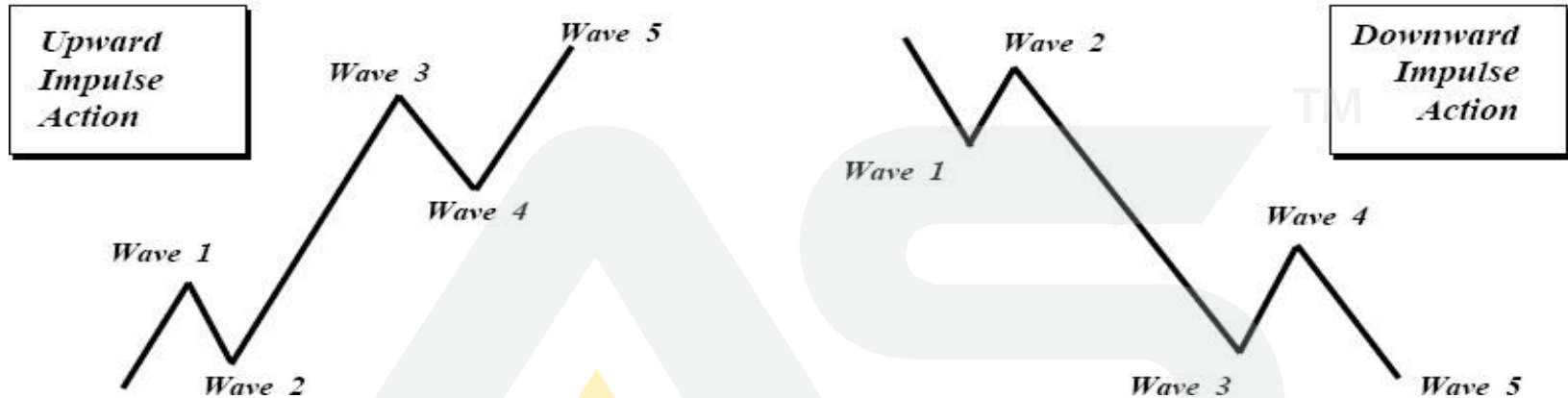
### 1. Impulse Waves

- Extensions
- Truncations

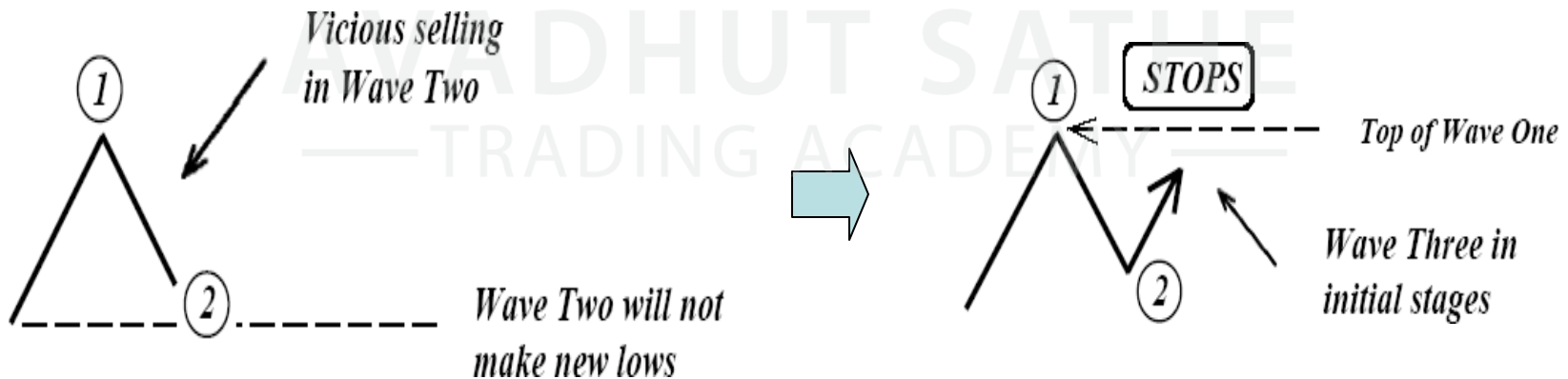
### 2. Diagonal Triangles

- Typically occur in Wave 5 or Wave C
- Found at termination points of larger pattern
- Indicate exhaustion of larger pattern

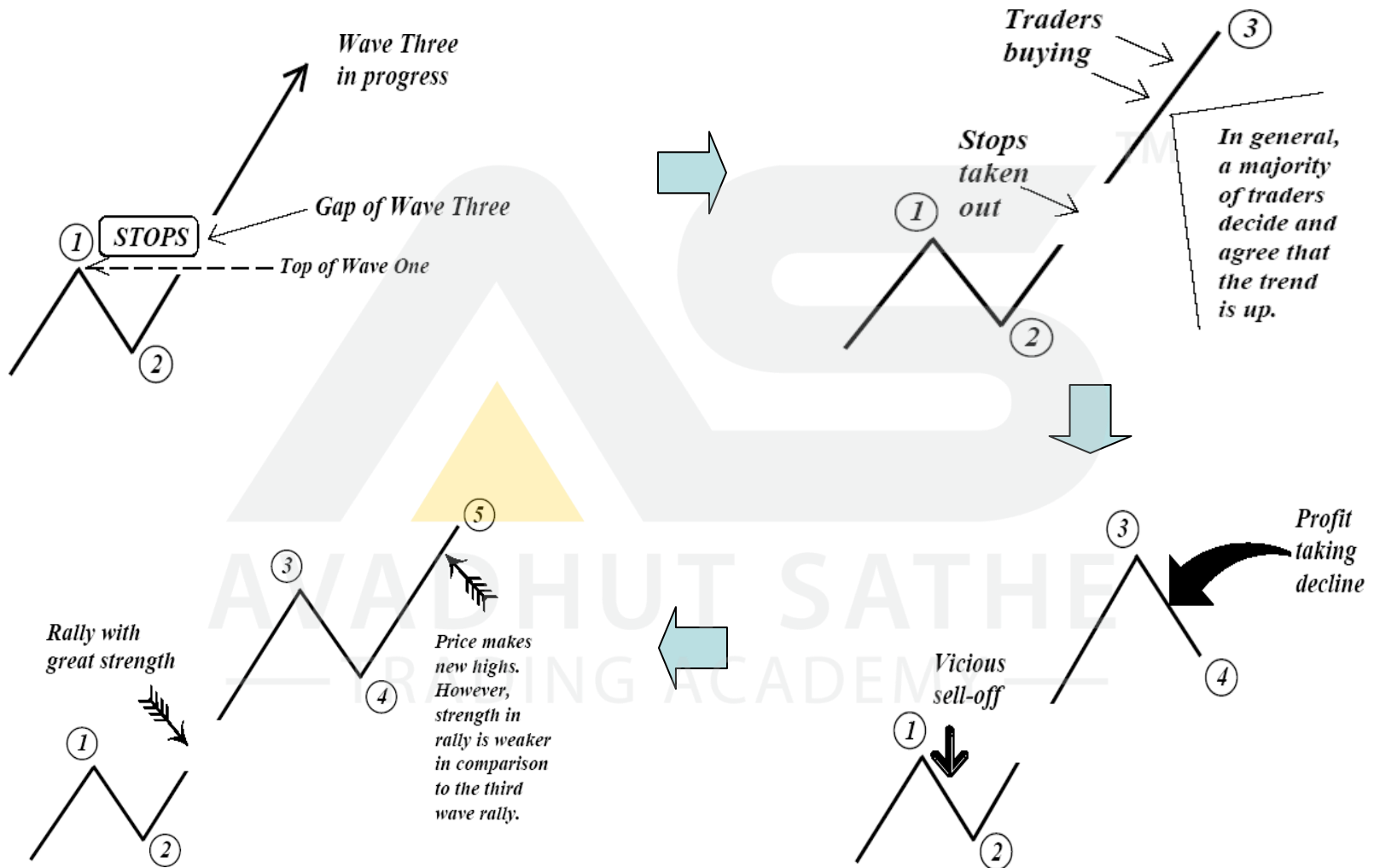
# Impulse Wave Pattern



## Characteristics of Wave 1 & 2



# Impulse Wave - Characteristics



# Example – Impulse Wave

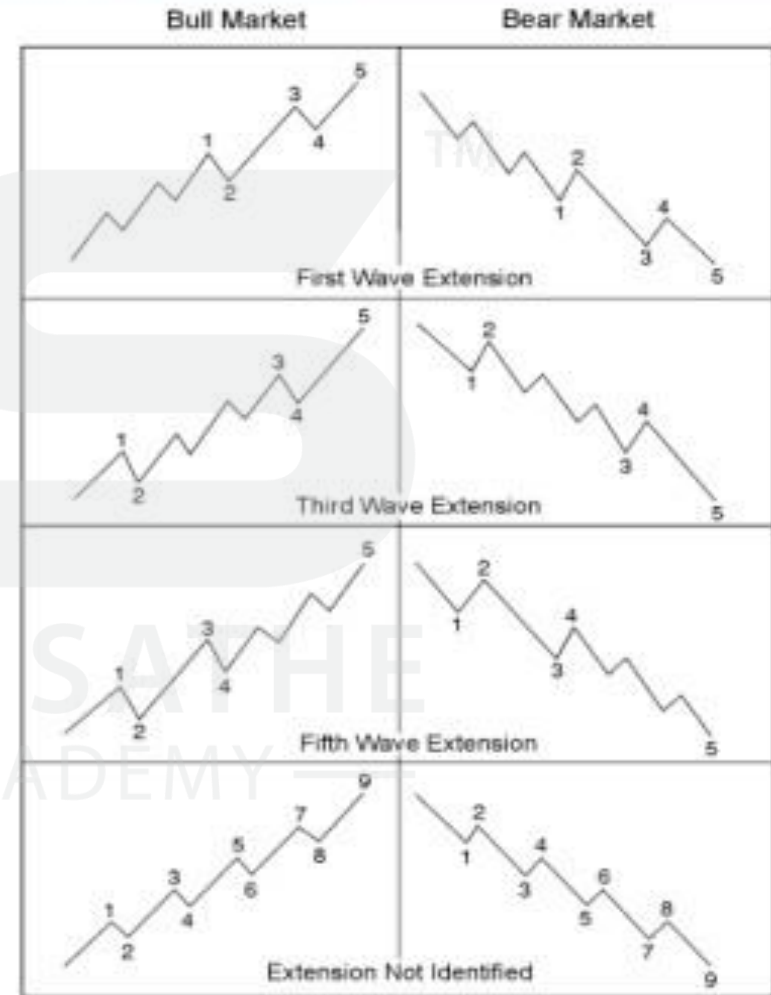


# Why is it significant?

- Once you are able to find the 5 wave uptrend or a downtrend, you could expect a change in direction or corrective phase in opposite direction (counter trend)
- Traders could trade the corrective waves...once 5 wave impulse is over.
  - Short when 5 wave uptrend is over
  - Go long when 5 wave downtrend is over

# Extensions

- Elongated Impulse Wave
- Appears in either Wave 1, 3 or 5
- Often seen in Wave 3 for the stock market
- Often seen in Wave 5 for commodities market



# Extension - example

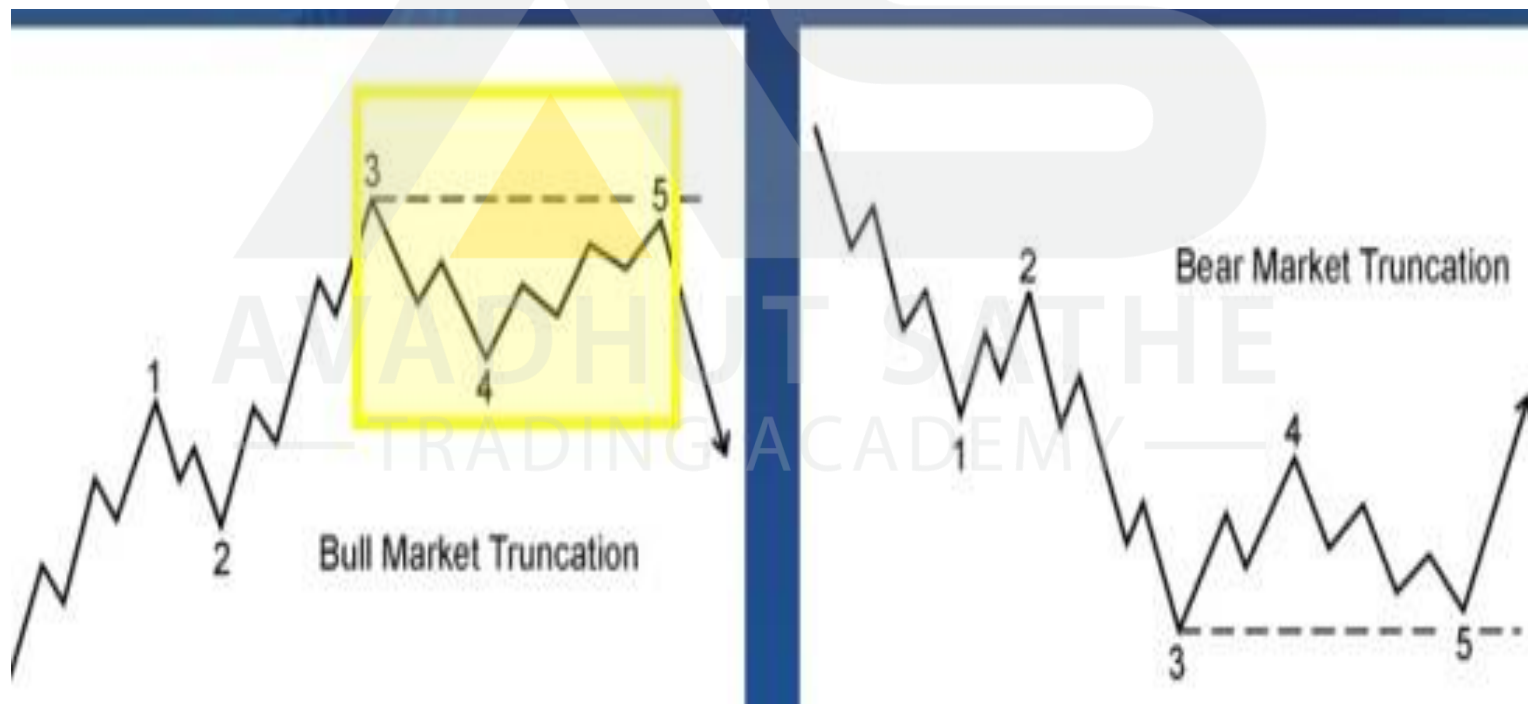
It's important to know extensions to ride the entire wave instead of getting out in the middle of the run.





# Truncations

- Wave 5 does not exceed the end of Wave 3
- Contains necessary 5 sub-waves within Wave 5
- Often occurs after a strong 3<sup>rd</sup> wave



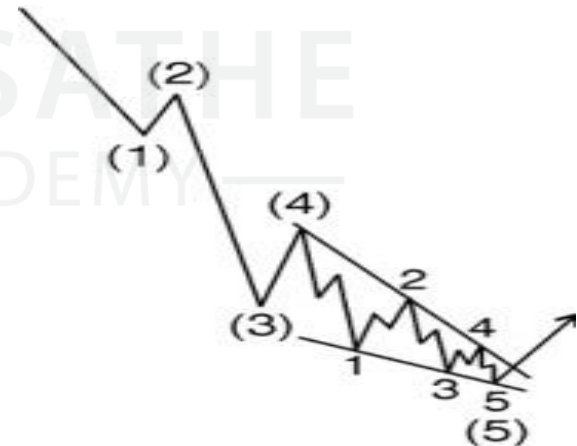
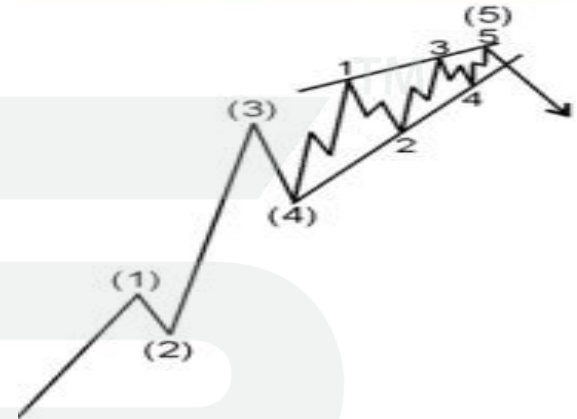
# Example - Truncation

Truncated 5<sup>th</sup> waves are difficult to find at real time, however it is important to know this concept to adjust your counts.



# Motive Waves - Diagonal Triangle

- Wave 4 almost always moves into the price territory of Wave 1.
- Wave 1, 3 and 5 are composed of three sub waves, not five.
- Found at termination points of larger pattern indicating exhaustion e.g. Sensex peak in Jan 2008.
- Normally has wedge shape within 2 converging lines.



# Example – Diagonal Triangle

- Once a diagonal triangle ends, it results in a swift move in the opposite direction ***retracing the entire diagonal triangle***.



- Sometimes sub-wave 5 does a “throw over” (OR throw under in downtrend).
- They are high probability setups!
- ... more later

# Summary

- The Wave Principle : Graphic of Mass Psychology
- Motive Waves : 5 wave structures in the direction of main trend of one larger degree
- Types of Motive waves
  - Impulse
  - Diagonal Triangle
- Impulse Waves
  - Wave 1, 3 and 5 : have 5 impulse sub-waves
  - Wave 4 never enters price territory of wave 1
- Diagonal Triangle
  - Wave 1, 3 and 5 : have 3 subwaves
  - Wave 4 enters price territory of wave 1
  - They signal imminent Trend Reversal

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